STRUGGLING TO SCALE?

You've watched the videos. You've practiced your trading strategy. You understand the concepts, the reasons for your entry, you've planned your exit. But when you go to push the button - the trade looks nothing like what you've practiced. It's common in trading to have anxiety entering a position. It's even more common to fear the losses even though they're a part of the game. How do you gain the confidence to go from paper trading to real money trading? And from there, how do you gain the confidence to increase position sizing to one that is in line with your goals?

1. Paper Trading to Real Trading

The trouble with paper trading is that it lacks emotion real money causes. Paper accounts are made for testing strategies, if they lose it all you simply press "reset" and try again. It's exactly like losing a life in a video game. It just doesn't carry the weight of real life, where money represents your time, your bills, food to eat and a roof over your head. While it is impossible to mimic this relationship in paper trading, there are several things we can discipline ourselves to do with paper trading that can help us make the move to real money.

If we use the account size of the given paper trade account, and then try to scale to a smaller account size with real money, there is a large divergence between expectations vs. reality. Quite often a paper trade account will give you 100,000 paper dollars to start. People will start trading with this amount, not really thinking about position sizing, risk, or how it relates to their real money account. They'll start making hundreds or thousands of dollars in trades, likely let themselves develop a few poor habits along the way, and then when they go to trade real

money, panic the first time they make a trade because it looks nothing the same. The real money account is only $10,000 or $20,000. The trades start to go red and they panic. The gains when they come are only 50 dollars, not several thousand. The losses will seem smaller dollar wise because the account is smaller, so you may be less inclined to stick with stop losses, but even though net dollar value seems smaller, percentage value could be much bigger. This will impact their account faster and cause some of the negative spirals we can see in trading. And then they go back to paper trading to try and figure out where their technical analysis went wrong.

2. Realistic Paper Trading

If you want to use paper trading to develop a trading strategy, it is important to have it mimic what your real life trading will look like as closely as possible. Which means you trade the exact same account value as you will use to start trading. You will have to develop the strategy, record entries, exits and how your trade went to make sure your risk/reward is on point. Your strategy is working enough of the time to create positive movement in your account. Playing with dollar values that diverge from those in your account will be a huge problem when moving to trading real money. If in real life you will be starting with a 10k account, paper trade with a 10k account. If you will only be risking 10 dollars, or 50 dollars, or 200 dollars, then risk that on paper trades. Your practice account can never mimic real money trading, but it is your job to set it up as close as possible to make the transition as seamless as possible.

3. Scaling Up Your Position Size

Scaling up position sizing with real money is a slightly different beast. This is not financial advice, and the following examples are used for educational purposes only. Usually people have a threshold for what they are okay to lose with real money that doesn't affect them too much emotionally. For some that threshold can be several thousand dollars, for some it's not more than 5 dollars. Everyone is unique in this. Usually when people struggle scaling, it's because they want to do it all at once. They've been trading for a while, the account is slowly going up, they feel it's time to increase their position size. So immediately they triple or quadruple the size of their regular trade, and then when the first loss comes it's three or four times more than they're used to, wipes out a few days or week's worth of gains, and then they immediately drop back to the original size. This cycle will continue for months. When trading, we need to learn to think of everything as a percent and stop thinking in relative dollar amounts. If you increase your risk size from 10 dollars to 20 dollars, that might not seem like a lot of money in your head (this is true for wherever your current threshold is), however, that is a 100% risk increase. If when we're scaling, we think in these absolute dollar values, we don't realize the impact it can have on our losses as a percent of our account, because the absolute dollar value still seems reasonable on a per trade basis. But trading is all a game of compounding. And scaling up so quickly can compound our losses as quickly as it can our gains if we're not ready for the jump. Therefore, when scaling up, we must also utilize compounding.

4. Start Compounding Slowly

Rather than immediately trying to double, triple, or much more our trades when trying to scale up, let's use compounding to our advantage, both in dollars and in anxiety levels. Once your strategy is going well, your account is moving in a positive direction and you feel ready to increase size, start by increasing 10%. This means if you were using 100 shares, you now move to 110 shares. If you were trading $1000, you increase to $1100. Ten thousand becomes eleven thousand and so on. This means if you were risking 50 dollars, you are not now jumping to 100 or 200. You are jumping to a 55 dollar risk. After a period of time if your strategy still remains successful, and you have adjusted to the new amounts without much derailment, then you can increase again. Again, by ten percent. 110 shares now becomes 121 shares. That 55 dollar risk becomes $60.5.

5. Why This Gradual Process Works

You can see that after a few short months, you will have double your position size, but along the way you won't have the drastic jumps and setbacks that will cause you to abandon scaling up altogether or force you to feel like you're starting over.

The trouble is, because it happens so slowly, in the moment we feel like we haven't moved from the starting point. So, make sure you look back often at where you started from, and where you currently are. Journal your progress. If every two months you look back and haven't made progress, then what does it hurt to try something different even if it feels slow initially? Ultimately scaling is like forging steel. If you heat it or cool it too quickly, you will end up with a bent sword. But take the time, however slow it might feel in the moment, to do it right, and you have the chance to create something great.